# NETFLIX INC NFLX

February 26, 2026 - 3:46am EST
by ThinkAnew

| | | | 2026 | 2027 |
|---|---|---|---|---|
| Price: | 83.00 | EPS | 0 | 0 |
| Shares Out. (in M): | 4,344 | P/E | 0 | 0 |
| Market Cap (in $M): | 360,540 | P/FCF | 0 | 0 |
| Net Debt (in $M): | 7,908 | EBIT | 16,286 | 19,571 |
| TEV (in $M): | 368,449 | TEV/EBIT | 22.6 | 18.8 |

## Description

There have been a few WBD write-ups over the past few months given the excitement of the Netflix/Paramount-WBD deal (regardless of buyer) and rightly so. Netflix investors clearly hated the deal and its stock was up 6% yesterday likely because market loves the possibility of Netflix being outbid by Paramount (and willing to walk away.) Here, I am going to argue, deal or no deal for WBD, Netflix shareholders stand to earn a decent IRR over the next 3 years.

A no-deal could lead to a quick bump in NFLX (as they restart buybacks), or the fundamentals will drive the stock up over the next few years. A NFLX-WBD deal really is not as bad as most people think. And even if they match the $31/share in cash Paramount is willing to pay and still allow WBD shareholders to keep the spin-off of cable network assets (so there's no doubt their offer is "better" than Paramount's which will include acquiring the channel networks), I argue it'll be a good deal for Netflix shareholders over the long-term.

Netflix's market cap is currently ~$360B and it is basically taking on a bunch of debt to acquire the WB assets. Assuming they match Paramount's $31/share bid, the EV they'll pay for WB will be ~$91.2B. So, even if the deal goes through (and they are not crazy to pay beyond Paramount's bid), 80% of EV is still core Netflix and it's critical to understand Netflix's core business first.

Most of this is obvious, but still important. Hindsight is 20-20, but over the past 15 years, it has been clear buying the dominant big-tech when things were uncertain hasn't been bad. Think the days when Meta was going Metaverse or Google was getting killed by ChatGPT. Tech, by the nature of things, is a scale game. Go back to the days of pre-factory, pre-industrialization when we all knitted our clothes at home, there was no economies of scale to speak of. Then came factories and it became obvious the efficiencies and advantages gained from spreading capital costs (or R&D/costs of hiring the best brains) over more units. Over the past 200 years, each generation of new tech led to more need for scale and the stability, dominance and outrageous growth of big tech (even after they became "big") clearly has proven the case. Scale matters.

Unlike digging oil or making shaving cream in which hiring the second best is probably okay, in the world of tech, it requires more brains than anything we had known of, and having the best brains makes a huge difference. And the BEST never wants to be underpaid, those actually SBC matters. So big tech outperformed because it's the nature of things, it's a scale game, and they could afford to hire the best brains, build the best infrastructure/foundation and give consumers the best product at the cheapest cost (again and again by spreading ever higher R&D/product development costs over ever more sale units). Big tech did not outperform because everyone piled into low-cost index funds that kept driving the stock up (I cannot believe how many HF billionaires actually make this stupid argument just because they cannot be "different" and outperform). If big tech were not fundamentally good the past 15 years, they would have stopped growing a long time ago and these same low-cost indices would have sold a long-time ago. Anyways, scale matters and Netflix has scale.

**Core Business**

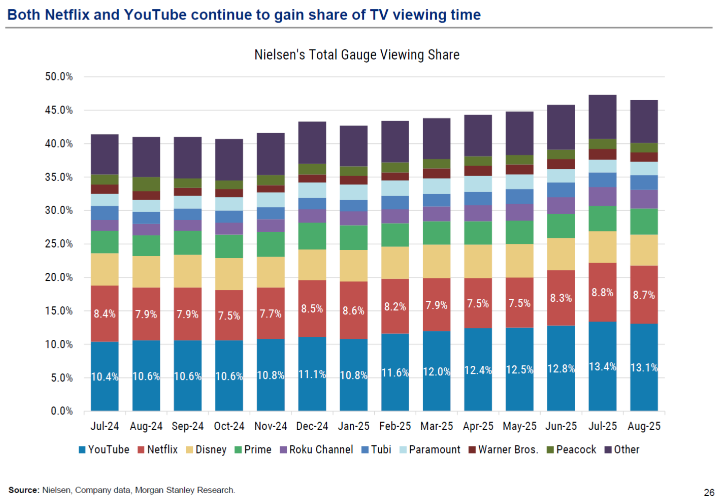
Netflix is a streaming service and stealing the words of Ben Thompson (Stratechery), they found out earlier than anyone else (and was willing to stick to it through thick and thin) that "internet distribution is more scalable than content". In other words, even if you had the most content, like the days when Warner Brothers had a lot and Netflix had none, it wasn't useful if you don't have the distribution channel on the internet to acquire lots of customers to spread those content costs and lower your per unit cost! And streaming, by the nature of things (convenience, watch anytime, anywhere, across devices) was the obvious way of how consumers were going to discover and watch content. And guess who came to dominate the streaming distribution channel?

Hence for Netflix, from DVDs-by-mail to streaming, their strategy has always been distribution first, content second. Once you have built up the silky-smooth tech, the back-end-infrastructure, the brand name, and became the de-facto #1 in streaming and cornered the distribution channel that consumers get and discover content (with low churn), it becomes very hard for anyone else to uproot you. And each new customer means almost pure profits and even more revenue to re-invest in better tech.

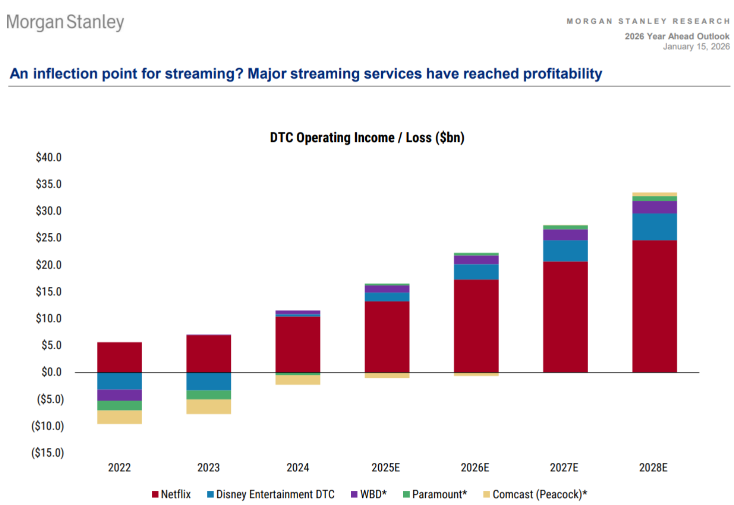
So, it wasn't a chicken and egg problem from the beginning. Distribution always was the king on the internet, and Netflix got it right to first focus on distribution and building that direct relationship with customers (knowing what they like and pushing the right things to them using algorithms to make them happy), before pivoting to acquiring content when it was worthwhile. And by now, they also have the data to know what content works best and have the highest odds of success.

And once Netflix became the dominant distributor and its algorithms determine what you watch, they have so much power that suppliers (the actual content makers) flocked to them and all sorts of good things that happen when someone has scale happened to them (lower per unit content costs, suppliers willing to forgo more money for the opportunity to be on Netflix, etc.) and they dominated the value chain. And consumers get a great service that is still arguably cheaper and better than what they can get elsewhere. And it becomes harder to cancel Netflix because they have the content budget to put something worth watching in a more rapid cadence than anyone else. Many people do one month of Paramount (or whatever) when there's something cool to watch and just keep their Netflix.

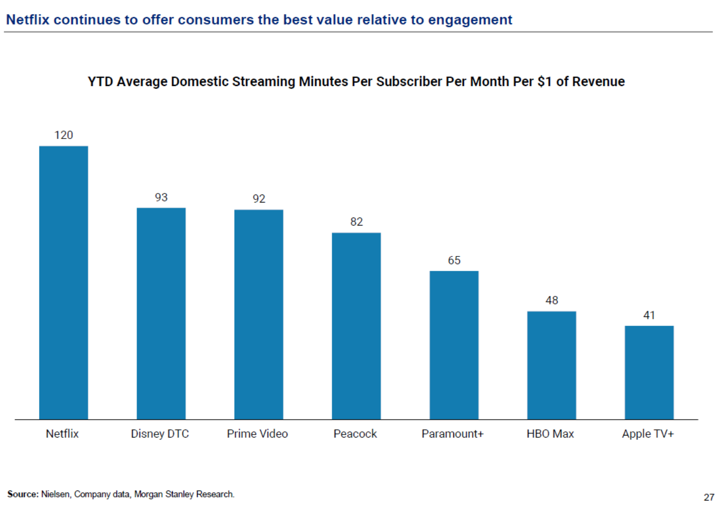
Below are a few charts from a recent Morgan Stanley presentation that shows Netflix's dominance. Obviously, they still compete with YouTube, TikTok, Instagram and whatever you can name for attention. But for proper streaming of quality content, it's been pure dominance.




These guys, today, make ~ 90% of profits amongst the big streamers. Of course, they can afford to pay for a bigger slate of content when others cannot.




Yes, the bears are saying engagement and hours watched are not going up much, but on a relative basis, it's still a cheaper service than anyone else's.




This is the result when you have over 325M paid memberships and **one billion people globally** using your service. The same $20B of annual content cost just costs a lot less per customer and you can pass on the unit cost efficiencies to each of them. Again, scale wins.

And dominance clearly shows up on the numbers. Between 2018 and 2025, content cost as % of revenue went from 48% to 36% and S&M from 15% to 7%. And they can spend 3x the amount in R&D and G&A over the years and EBIT went from 10% to 29.5%. ROIC is a mouth-watering 28%.

| Model Sheet Currency : USD | FY2018 | FY2019 | FY2020 | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 |
|---|---|---|---|---|---|---|---|---|
| **Total Revenue, mm** | **15,794.3** | **20,156.4** | **24,996.1** | **29,697.8** | **31,615.6** | **33,723.3** | **39,001.0** | **45,183.0** |
| Amortization of content library, mm | 7,573.3 | 9,216.2 | 10,806.9 | 12,230.4 | 14,026.1 | 14,197.4 | 15,301.5 | 16,422.2 |
| Other COGS, mm | 2,394.2 | 3,224.0 | 4,469.4 | 5,102.3 | 5,142.2 | 5,517.9 | 5,736.9 | 6,853.2 |
| **Total COGS, mm** | **9,967.5** | **12,440.2** | **15,276.3** | **17,332.7** | **19,168.3** | **19,715.4** | **21,038.5** | **23,275.3** |
| Other COGS Margin, % | 15.2% | 16.0% | 17.9% | 17.2% | 16.3% | 16.4% | 14.7% | 15.2% |
| Content cost as % Rev | *47.9%* | *45.7%* | *43.2%* | *41.2%* | *44.4%* | *42.1%* | *39.2%* | *36.3%* |
| **Gross Profit, mm** | **5,826.8** | **7,716.2** | **9,719.7** | **12,365.2** | **12,447.3** | **14,007.9** | **17,962.5** | **21,907.7** |
| *Y/Y growth in gross profit, %* | *59.2%* | *32.4%* | *26.0%* | *27.2%* | *0.7%* | *12.5%* | *28.2%* | *22.0%* |
| Gross Margin, % | 36.9% | 38.3% | 38.9% | 41.6% | 39.4% | 41.5% | 46.1% | 48.5% |
| *Consensus Estimates - Gross Margin, %* | | | | | | | | |
| Y/Y improvement in Gross Margin, bps | 559 | 139 | 60 | 275 | (227) | 217 | 452 | 243 |
| R&D Expense, mm | 1,221.8 | 1,545.1 | 1,829.6 | 2,273.9 | 2,711.0 | 2,675.8 | 2,925.3 | 3,391.4 |
| *Y/Y growth in R&D expense, %* | *28.1%* | *26.5%* | *18.4%* | *24.3%* | *19.2%* | *-1.3%* | *9.3%* | *15.9%* |
| R&D Margin, % | 7.7% | 7.7% | 7.3% | 7.7% | 8.6% | 7.9% | 7.5% | 7.5% |
| Y/Y improvement in R&D Margin, bps | 42 | 7 | 35 | (34) | (92) | 64 | 43 | (1) |
| S&M Expense, mm | 2,369.5 | 2,652.5 | 2,228.4 | 2,545.1 | 2,530.5 | 2,657.9 | 2,917.6 | 3,301.3 |
| *Y/Y growth in S&M expense, %* | *65.0%* | *11.9%* | *-16.0%* | *14.2%* | *-0.6%* | *5.0%* | *9.8%* | *13.2%* |
| S&M Margin, % | 15.0% | 13.2% | 8.9% | 8.6% | 8.0% | 7.9% | 7.5% | 7.3% |
| Y/Y improvement in S&M Margin, bps | (272) | 184 | 424 | 34 | 57 | 12 | 40 | 17 |
| G&A Expense, mm | 630.3 | 914.4 | 1,076.5 | 1,351.6 | 1,572.9 | 1,720.3 | 1,702.0 | 1,888.4 |
| *Y/Y growth in G&A expense, %* | *46.2%* | *45.1%* | *17.7%* | *25.6%* | *16.4%* | *9.4%* | *-1.1%* | *10.9%* |
| G&A Margin, % | 4.0% | 4.5% | 4.3% | 4.6% | 5.0% | 5.1% | 4.4% | 4.2% |
| Y/Y improvement in G&A Margin, bps | (30) | (55) | 23 | (24) | (42) | (13) | 74 | 18 |
| **EBIT, mm** | **1,605.2** | **2,604.3** | **4,585.3** | **6,194.5** | **5,632.8** | **6,954.0** | **10,417.6** | **13,326.6** |
| *Y/Y growth in EBIT, %* | *91.4%* | *62.2%* | *76.1%* | *35.1%* | *-9.1%* | *23.5%* | *49.8%* | *27.9%* |
| EBIT Margin, % | 10.2% | 12.9% | 18.3% | 20.9% | 17.8% | 20.6% | 26.7% | 29.5% |

**Can the dominance continue?**

The question now is: can this dominance continue? With its 1B audience, Netflix now possesses the ability to **amplify the value of content**, creating value out of thin air that no one else can. The widely cited examples are F1, Suits and Kpop Demon Hunters. Who in the US (except the hardcore fans) knew about F1 before Drive to Survive? Broadcast rights that were given for free by Liberty Media in 2018 suddenly were suddenly worth $150M a year when Apple signed it last year. Who created the value? Netflix! Suits was in Peacock and didn't get hot until it was on Netflix. And I watched Kpop Demon Hunters 8 months after it was released, and would I have watched it had I not have an existing subscription? Probably not!

So, because of its super wide reach, and the fact that most people in the most important economy of the world (here) already subscribe to the service, Netflix is in the prime position to make fads happen, to create value out of thin air. Folks don't have to go through the hassle of subscribing for 1 month to watch something one off (which is something they'll tackle with HBO Max). And logically, it gets harder to create a hit show if there's so much friction and you're dependent on many customers signing up just to watch one show or one movie. Netflix today has no such friction anymore.

And when you can spend $20B on content costs (not sports like the others are doing) and when others are willing to give it to you at better prices, your probability of creating the next fad just goes up exponentially. And you do it again and again, which is what we've seen with Netflix in recent years.

And these "fads" are reinforcing Netflix's importance in consumers' mind. And it shows up in the churn numbers. Low churn (almost) always wins. And low churn will stay low churn because they have the most content to keep customers happy and they can plough revenue to new content/better tech when others have to spend on S&M to reacquire customers.



I will be quite nervous if I am Disney and listening to kids singing to Golden instead of Zootopia songs.

Churn #s from Churnkey.co

## Statistical Benchmarks for Streaming Services: Who's Winning the Retention Battle?

Churn rates are different for streaming platforms, **revealing which retention strategies work at scale.** The gap between the best and worst performers is massive; some platforms lose subscribers three times faster than others.

| Platform | Monthly Churn Rate |
|---|---|
| Amazon Prime Video[2] | ≈ 3.5-4.1% |
| Netflix[1] | 2.1% |
| Max[1] | 6-6.9% |
| Disney+[1] | 5.5% |
| Hulu[1] | 5,3% |
| Paramount+[1] | 5.0-6.0% |
| Apple TV+[1] | 6.5-7% |

### AI threat

I cannot get away without defending the AI threat. Yes, AI in theory means lots more content and that means higher possibility of something being created in some other platform that might take attention away from Netflix. But there is nothing stopping content producers (who work for Netflix) from using the same AI tools and be more efficient. And when they create the next big thing, the next big proper thing at lower cost (not Youtube or Tiktok quality), where would they put their content? Netflix!

The right way to think about AI is it's a tool, it's an efficiency time saving and money saving tool. And it goes back to the Munger story of X company buying a new machine (new capital cost) to lower its cost structure, only to see all "savings" being passed on to customers, because there's no competitive differentiation. Only companies with existing moat keep these efficiencies, and in the streaming space, who can keep these savings more than Netflix?

Also, if you know anything about TV and movie creation (suggested reading: Ed Catmull's Creativity Inc.), great content is not that easy to create. Those $100M budgets matter. These guys don't sit around and do nothing. Great content is about emotions, understanding people, understanding what might connect. It's months and months of trial and error, of debate. Even one song takes a small tribe to create: https://www.netflix.com/tudum/features/kpop-demon-hunters-golden-oral-history

This is not core to the thesis, but advertising revenue grew 2.5x in 2025 and they think it'll double again in 2026 to $3B. Not insignificant for a $52B revenue (2026) and presumably most drops to bottom line.

### Why has the stock gone down so much recently?

These guys are going from a relatively clean balance sheet ($8B net debt including op leases) to taking on to $71B in additional debt if they do the deal at Paramount's current takeout price. Taking on so much leverage and stopping buyback is not exciting. And they could end up paying even more. Just the act of doing the WB deal signals weakness. Plus, Q4 results didn't blow people away (15.9% growth for FY25). AI threat (Seedance, maybe even Claude soon). But ultimately, if my position wasn't clear enough, all are missing the big picture, that is Netflix is still the biggest streamer and has the biggest scale for proper content distribution (not Youtube or Tiktok quality content) and will keep rolling for at least the next 5 years.

### The WBD deal

Below is the deal summary. If they end up paying as much as Paramount (and still allow WBD shareholders to keep the channel networks and make it a "better" deal for WBD folks), you add another $8.5B ($31 - $27.75 * 2.6B WBD shares) of debt to the right hand side.

**FINANCIAL HIGHLIGHTS**
**DEAL SUMMARY UPDATE**

| Financial Highlights | |
|---|---|
| WB Equity Value Per Share | $27.75 |
| Shares Outstanding (B) | 2.60 |
| Equity Value ($B) | $72.0 |
| Warner Bros. Net Debt ($B) | $10.7 |
| Enterprise Value ($B) | $82.7 |

| Per Share Considerations | |
|---|---|
| Cash | $27.75 |
| Equity | $0.00 |
| WB Equity Value Per Share | $27.75 |

| Total Funding Sources* | |
|---|---|
| Cash on Hand ($B) | $20.0 |
| Acquisition Debt ($B) | $52.0 |
| Studios & Streaming Net Debt ($B) | $10.7 |
| Total Warner Bros. Consideration | $82.7 |

Despite all that's been said out there, I believe the simplest way to think about this deal is, Netflix is simply acquiring $91B of content in the worst-case scenario. Let's ascribe ZERO value for any future WB content, and they shut everything down (which they won't), and they just spent $91.2B acquiring WB's library content. Yes, it's a lot of money, but we are talking some really (really) important assets here (to name a few: Harry Potter, Game of Thrones, The Big Bang Theory, The Sopranos, White Lotus, The Wizard of Oz, DC Universe (Superman, Batman), and Friends) and $91B adds up to ~4-5 year of Netflix's annual content costs.

And the difference is they're getting certain hits. Basically, in one fell swoop, they're acquiring some of the very best content ever and these contents are what they get to keep forever and it allows them to reduce churn and amplify their pricing power (more on this when discussing valuation later). And the economics only works because they have 325M subs to spread all these costs over. And at the same time, taking out one potential competitor. And could this mean lower content cost going forward (maybe) – or more likely, in terms of certainty in future content costs. What they would have spent anyways could be applied to creating new sequels of prior WB hits and them owning it: think new Harry Potter, a modern version of "Friends", etc. Who better to take advantage than Netflix? And they don't even need the prior WB guys to do it if there's a "culture" clash.


Perhaps, I am simplifying things too much, but I believe thinking this worst case takes away the brain damage of trying to calculate "integration risks", "reduction in pro-forma earnings of combined", "reduction in "theatrical" distribution/third-party licensing", and making other predictions that are harder to predict anyways. And there's NO culture risk in acquiring content.

Ted Sarandos talks about the 85% overlap between HBO Max and Netflix subs and giving them a "nice discount". And again, it's only possible because of its scale and no one else can do it. Math on this in valuation.

**Valuation**

Let's go through the no-deal and then the deal scenario.

**No-deal scenario**

These are the guides for 2026:

*For 2026, based on F/X rates as of 1/1/2026, we forecast revenue of $50.7B-$51.7B. This represents 12%-14% year over year growth (or 11%-13% F/X neutral growth), driven by increases in membership and pricing plus a projected rough doubling of ad revenue in 2026 vs. 2025. We're targeting a 2026 operating margin of 31.5% (based on 1/1/26 F/X rates), up from 29.5% in 2025, which includes approximately $275M of acquisition-related expenses.*

Basically, it means incremental EBIT margin of 45-47% (even with acq. related expenses; stripping out acq. related expense, incremental EBIT margin is 50%). And management said clearly: *We still see plenty of room to increase our margins and our intent is to grow our operating margin each year, although the magnitude of margin expansion will vary year-to-year as we balance reinvesting in our business with improving profitability.*

When I plug in the #s, and assume a 14% topline growth that declines to ~13% in 2030 (there's still quite a bit of international penetration to go after and each additional sub is highly profitable), and 45% incremental EBIT margins (you can easily argue this should be higher over time), I get to ~$31.8B EBIT. 17x forward EV/EBIT for dominance and EBIT that's still growing 16-17% is not outrageous. This means $542B of EV in 2029, and I give them $47B in cash generation credit between 2026 and 2028 (assume 80% EBIT converts to real cash) and take out the $8B in debt, that means equity value by 2029 of $581B and about $134/share in a no-buyback scenario (17% IRR by 2029).

**Deal scenario**

I am going to do a simplistic scenario for if the WB deal happens. Taking Ted Sarandos' words who said many times they are a "disciplined buyer" (they didn't stupidly bid for regular live sports programming when everyone was and are not saddled with expensive sports contracts today) and they just match what Paramount is now offering. Meaning they match the $31/share in cash Paramount is willing to pay and still allow WBD shareholders to keep the spin-off of cable network assets (so there's no doubt their offer is "better" than Paramount's which will include taking up the channel networks).

Add it all up, and their net debt will be close to $79-80B. And I am going do the mental exercise I alluded to above. Let's assume there's no value to everything else that WB brings to the table and it's a pure content acquisition exercise. What does this mean? The only viable way for the deal to work is to bundle the new content to Netflix and raise prices on existing subs and the future year subs we had imputed in the no-deal scenario above. Let's assume they get NO additional subs even though they now have Harry Potter and Friends and that they are just able to take pricing up by 10%. Practically speaking, this means, folks in the US are paying less than $2/month more and folks in the rest of the world less than $1/month more to watch *all* the additional content from WB (on top of the at least $20B they'll spend on new content in future years). It seems like a no-brainer. Most of us have the willingness and ability to pay $2 more and I believe this is the "nice discount" Ted Sarandos was saying when describing the deal. And only Netflix can do it because of that one magical word, scale. They just can spread whatever content or acquisition cost over so many more subs and only they can comfortably do so (not Disney, not Paramount).

This means 10% additional pricing/revenue in future years on top of the no-deal scenario above and I believe most of it is pure profits that drops to bottom line (anyone who knows the space better, let me know if this is not the case.). I assume 98% drops to bottom line and in the 2030 scenario, it means $8.63B in additional pricing revenue and $8.46B more in EBIT (Even 2% or $170M is a lot of money to "manage" these "new contents"). $91.2B for $8.5B in EBIT is 10.8x and now the deal doesn't seem that expensive anymore. And it doesn't seem expensive only because they *already* have existing scale and don't have to grow into it (like Paramount).

Which means by 2030, they could do $40.3B in EBIT, and applying the same forward 17x EBIT, I get to EV of $685B in 2029. And giving them $53B credit for cash (2028 is the first year they get cash credit for WB pricing power and only 80% of EBIT becomes cash), adding all the debt ($71.2B new debt + $8B original debt), I get to ~$660B in equity value and target price of $152 in 2029 (22% IRR by 2029). It also means even if leverage stays, we are looking at 0.7x Net Debt/EBIT.

**Investment Risks**

- Are they running out of growth and could top line growth decelerate more? They have done the easy things (raised prices, killed password sharing, US is saturated and it's harder to raise price in poorer/low ARPU countries)
- Despite still just costing 1 movie ticket, 3 lattes or 2.5hr of minimum wage per month for so much content (real movies and no ads), it's not exactly a cheap service like before
- Youtube gains even more watching time and the gen Z cannot sit still and watch something for more than 45 seconds
- They go crazy and pay $150B for WB and leverage becomes a real risk

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

## Catalyst

- No deal, they restart buybacks and stock rerate (sorry, I am one day late, and you already missed the first 6% from yesterday)
- Deal happens, and you must ride the volatility (regulatory delays, merger complexity, etc.) until it becomes clear the deal works (they can raise prices easily to recoup) and they remain the undisputed #1 in streaming.

## Messages

| | |
|---|---|
| **Subject** | really good |
| **Entry** | 02/26/2026 10:51 AM |
| **Member** | WinBrun |

this write-up made me want to look into this company. great work.

| | |
|---|---|
| **Subject** | PSKY as a Competitor |
| **Entry** | 02/26/2026 05:58 PM |
| **Member** | zipper |

In the "no deal" scenario, which looks like where it's going now AH, how do you think about PSKY as a potentially irrational and scaled actor bankrolled by an octogenarian billionaire with a bottomless wallet open for his seed to cement his legacy? Media has always had a trophy aspect to it (history of bickering media moguls, not all of whom made money), so curious how you think about competitive risks here if you're so inclined. Thx!

| | |
|---|---|
| **Subject** | Re: PSKY as a Competitor |
| **Entry** | 02/26/2026 06:06 PM |
| **Member** | ThinkAnew |

So Netflix dropped out (shows their financial discipline again). My thought is Netflix spends $20B on content each year (and growing) and has become the preferred destination for many content producers to show their content (who doesn't want their lifework viewed by the most people possible). How many $20Bs does the Ellisons have to burn (9.5x according to Forbes today)? Okay, I cannot rule out some irrational Middle Eastern $ and anything can happen. But odds are in Netflix's favor (so far).

"*The transaction we negotiated would have created shareholder value with a clear path to regulatory approval. However, we've always been disciplined, and at the price required to match Paramount Skydance's latest offer, the deal is no longer financially attractive, so we are declining to match the Paramount Skydance bid."*

| | |
|---|---|
| **Subject** | Re: Re: PSKY as a Competitor |
| **Entry** | 02/26/2026 06:20 PM |
| **Member** | ThinkAnew |

Sorry for another message, this was the full press release for those inclined:

*The transaction we negotiated would have created shareholder value with a clear path to regulatory approval. However, we've always been disciplined, and at the price required to match Paramount Skydance's latest offer, the deal is no longer financially attractive, so we are declining to match the Paramount Skydance bid.*

*Warner Bros. is a world-class organization, and we want to thank David Zaslav, Gunnar Wiedenfels, Bruce Campbell, Brad Singer and the WBD Board for running a fair and rigorous process. We believe we would have been strong stewards of Warner Bros.' iconic brands, and that our deal would have strengthened the entertainment industry and preserved and created more production jobs in the U.S.  But this transaction was always a 'nice to have' at the right price, not a 'must have' at any price.*

*Netflix's business is healthy, strong and growing organically, powered by our slate and best-in-class streaming service. This year, we'll invest approximately $20 billion in quality films and series and will expand our entertaining offering. Consistent with our capital allocation policy, we'll also resume our share repurchase program.*

*We will continue to do what we've done for more than 20 years as a public company: delight our members, profitably grow our business, and drive long-term shareholder value.*

| | |
|---|---|
| **Subject** | Update |
| **Entry** | 04/22/2026 12:11 PM |
| **Member** | vincent975 |

Hi ThinkAnew -

Appreciate the idea. I really like pitches for high quality large cap names. Any updated thoughts post earnings and recent news?

Best,

Vincent

| | |
|---|---|
| **Subject** | Re: Update |
| **Entry** | 04/22/2026 04:59 PM |
| **Member** | WinBrun |

If you believe directionally in Management's unofficial but not-denied internal targets from 2025 to double revenue and triple operating profit by 2030 (from roughly $40B and $10B), then the stock is attractive here-I think $8/share and $200/stock is possible-which is over 20% IRR. The business has completely separated itself competitively from peers, is adding new categories like sports, live events, and games, and is still early in advertising. ~325m subs as of last quarter (so probably more now) is only about 40% penetrated in existing addressable market, and it is still less than 5% of television time. There is a still a long runway to grow users and viewing. YouTube, Social and AI-generated content are certainly risks, but my personal view is that there will be persistent demand for the type of content that Netflix delivers. Also, some forms of content where Netflix is increasingly strong, such as non-scripted, documentaries, and sports, or anything live, is more insulated from AI. Movies and television should endure. Netflix has the best business model to produce and distribute both.

25x E2027 earnings---seems reasonable. I do not see why Netflix cannot continue to grow revenue at 12-15% for the foreseeable future; continued margin expansion and buybacks can drive high teens-low per share earnings growth.

I believe that the barrier to Netflix signing up the next 100 or 200m customers is not demand for the product--most people will want it; it is getting the pricing and packaging right market-by-market, particularly in markets where there is less developed internet, pay-television, or advertising supported video. But, I think the demand will be there.

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**Subject** Re: Re: Update
**Entry** 04/22/2026 06:52 PM
**Member** vincent975

Appreciate the thoughts, WinBrun

Best,

Vincent

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**Subject** Re: Update
**Entry** 04/22/2026 08:48 PM
**Member** ThinkAnew

Frankly nothing much to add. I don't think Hastings leaving the board is that big of a deal. Not much changed fundamentally for the Q. I still stand by what I wrote 2 months ago.

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**Subject** Roku
**Entry** 06/16/2026 01:47 PM
**Member** zbeex

Netflix down on bidding for ROKU yet they confirmed they did not bid. https://x.com/rogoswami/status/2066913876352893326

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**Subject** Re: Roku
**Entry** 06/16/2026 01:58 PM
**Member** Mencken

That's not why it's down. It's down bc it's rumored to be bidding for LION.

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**Subject** Re: Re: Roku
**Entry** 06/26/2026 01:28 PM
**Member** natey1015

Hard to believe that is the reason why NFLX is down--bidding on a ~$9B asset against a ~$300B EV.

WinBrun--any thoughts here on the potential bear case? Stock seems to be relatively attractive at these levels. Thanks.